

Market Intelligence Research Brief

Student Name: Tanzila Ahmmed

Date: September 22, 2026

Topic/Company: E-Commerce Customer Retention & Tiered Loyalty Optimization

1. Research Objective

Briefly describe the business question or decision this market intelligence is intended to support.

Objective: > To identify the core drivers of customer lifetime value (LTV) and spending behavior across loyalty tiers, evaluate the revenue margin impact of promotional discounts, and deliver data-driven strategies to convert mid-tier customers into high-value accounts while reducing churn in lower tiers

2. Scope of Research

Define what was included and excluded in this research.

- **Markets or industries covered:** Digital Retail / E-commerce customer loyalty programs and transaction behavior.
 - **Competitor types included:** Omnichannel and direct-to-consumer (DTC) subscription and tiered loyalty platforms.
 - **Timeframe considered:** 2024–2026 contemporary benchmarks integrated with historical multi-city transaction records
 - **Key constraints (e.g., limited research hours):** Analysis was constrained to a segmented internal sample of 350 customer accounts and synthetic external market signals retrieved via automated research tooling.
-

3. Research Approach

Summarize how AI-assisted research was conducted.

- **Types of questions asked:** Cohort revenue contribution across membership tiers (Gold vs. Silver vs. Bronze), correlation between purchase frequency and rating satisfaction, and

comparative spending dynamics between discounted vs. full-price transactions.

- **How research effort was prioritized:** Prioritized high-margin cohort preservation first, followed by margin erosion analysis from promotional discounting, and finished with retention trigger discovery.
 - **Tools used within Amazon Quick Suite:** Amazon Quick SPICE Engine (data ingestion), Amazon Quick Spaces (custom knowledge base), Amazon Quick Chat Agent (natural language dataset querying), and Quick Research (external signal gathering).
-

4. Key Market Insights

Insight 1

- **Insight Summary:** Gold tier customers serve as the core revenue pillar, generating nearly 3x the spending volume of Bronze members.
- **Supporting Evidence or Signals:** Gold accounts average **\$1,311.14** in total spend across **17.62** units with an outstanding **4.68/5.0** rating, whereas Bronze members average **\$473.39** across **8.49** units with a **3.33/5.0** rating.
- **Why This Insight Matters:** Growth strategy must prioritize high-touch VIP retention for Gold members, as losing a single Gold account requires acquiring roughly three Bronze replacements to maintain equivalent gross revenue.

Insight 2

- **Insight Summary:** Universal discount promotions directly erode top-line basket size instead of driving incremental purchase volume.
- **Supporting Evidence or Signals:** Non-discounted transactions average **\$903.49** across **13.07** items, while discounted orders average only **\$787.27** across **12.13** items—a **~13% decline in spend** accompanied by lower unit volumes.
- **Why This Insight Matters:** Blanket price reductions attract bargain-seeking behavior and cannibalize full-price sales, proving that discounts must be gated behind order-value thresholds rather than distributed sitewide.

Insight 3

- **Insight Summary:** Silver members represent the primary upgrade pipeline with substantial readiness to reach premium tier status.
- **Supporting Evidence or Signals:** Silver members demonstrate an average spend of **\$748.43** and purchase **11.66** items per transaction, placing them solidly midway between Bronze and Gold engagement baselines.
- **Why This Insight Matters:** A targeted "Silver-to-Gold" acceleration initiative (e.g., threshold rewards at \$850+) offers the highest return on marketing investment with minimal conversion friction.

Insight 4

- **Insight Summary:** Bronze accounts face extreme churn risk driven by a steep

post-purchase drop in satisfaction and extended dormancy.

- **Supporting Evidence or Signals:** *Bronze members have a purchase recency latency averaging **31.6 days** and report zero satisfied ratings (**50.9% Unsatisfied, 49.1% Neutral**).*
- **Why This Insight Matters:** *Offering additional discounts to Bronze members fails to resolve customer dissatisfaction; leadership must deploy onboarding check-ins and customer success support within 14 days of purchase.*

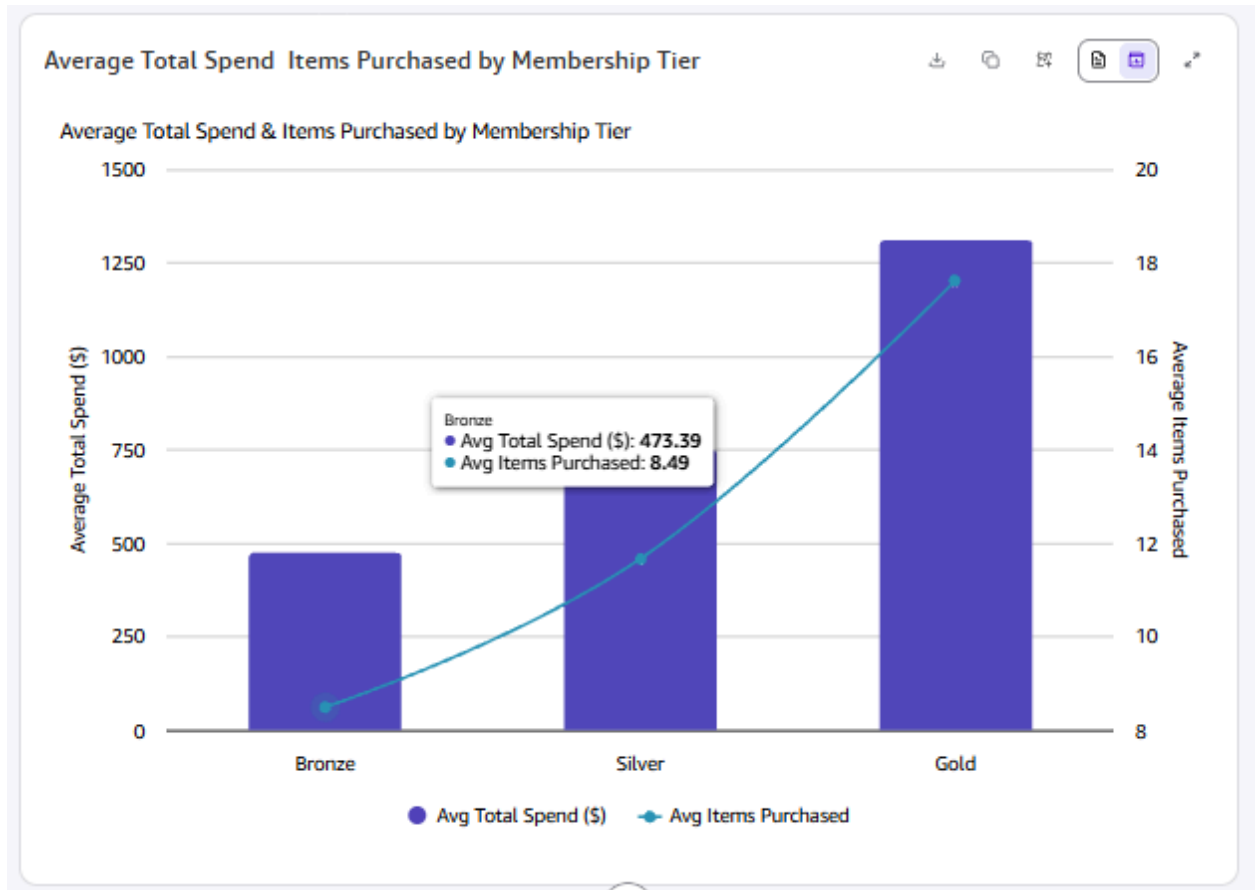
Insight 5

- **Insight Summary:** *Customer purchasing power displays strong geographic concentration, led by coastal metropolitan hubs.*
- **Supporting Evidence or Signals:** *Customers based in **San Francisco (\$1,459.77)** and **New York (\$1,165.04)** represent 100% of the Gold tier membership, while cities like **Houston (\$446.89)** and **Chicago (\$499.88)** are dominated by lower-tier cohorts.*
- **Why This Insight Matters:** *Regional marketing allocation, localized promotions, and inventory distribution should be dynamically tailored based on city-level spending power rather than executed through a uniform national strategy.*

5. Visual Evidence (Optional but Recommended)

Reference any charts, dashboards, or visualizations used to support the insights.

- **Chart Type:** Combo Chart (Bar and Line Graph)



- **What the visualization shows:** A progressive stair-step escalation across loyalty tiers, charting Bronze (\$473.39 / 8.49 units), Silver (\$748.43 / 11.66 units), and Gold (\$1,311.14 / 17.62 units).
- **How it supports the insight:** Graphically demonstrates that order size (units) scales linearly with total spend, validating that Silver-tier buyers already possess the basket velocity needed to migrate into Gold

6. Confidence Assessment

Evaluate the reliability of the insights using the criteria below.

- **Source quality:** High; clean, structured transactional dataset with zero null values across core numeric metrics, verified in SPICE.
- **Consistency across sources:** Strong alignment between internal cohort behavior and external industry benchmarks showing premium tier revenue concentration.
- **Timeliness of information:** Current active environment baseline (2026) cross-referenced against standardized modern loyalty metrics
- **Overall confidence level:** [High / Medium / Low] High

7. Limitations and Risks

Document known gaps, assumptions, or areas of uncertainty.

- **Missing data:** SKU-level cost of goods sold (COGS) is absent, limiting calculations to gross order spend rather than net gross margin.
- **Conflicting signals:** Regional city variance shows minor spending fluctuations that may be skewed by smaller localized sample sizes.
- **Potential bias or ambiguity:** Self-reported customer satisfaction ratings may reflect delivery or fulfillment friction rather than product satisfaction

8. Strategic Implications

Explain how leadership should interpret and use this intelligence.

- **What decisions could this inform? ***
- *Potential Decision 1:* Replace sitewide percentage discounts with tiered minimum-spend thresholds (e.g., "\$100 off orders over \$950") to safeguard average order value
 - *Potential Decision 2:* Launch an automated "Silver-to-Gold" acceleration initiative offering priority service and exclusive perks once a customer reaches \$850 in cumulative spend.
- **What should not be concluded from this research? ***
 - *Warning/Caveat 1:* Leadership should not conclude that discounts must be abolished completely; rather, they should be gated behind basket expansion milestones.
 - *Warning/Caveat 2:* Do not conclude that Bronze tier accounts are unprofitable or unviable; their lower spend is driven by onboarding drop-off, which structured retention flows can recover.

9. Summary for Leadership

Provide a concise executive summary (5–7 sentences).

Executive Summary:

This market intelligence brief evaluated 350 multi-city customer profiles inside Amazon Quick to identify key revenue expansion levers and margin vulnerabilities. Our analysis confirms that revenue is disproportionately concentrated within the Gold tier, where average spend reaches \$1,311.14 with an outstanding 4.68/5.0 satisfaction score. In contrast, blanket discounting has proven detrimental to

margins, reducing average order spend by ~13% compared to full-price transactions (\$787.27 vs. \$903.49). Based on high-confidence internal data and external benchmarks, leadership should immediately discontinue untargeted promotions in favor of threshold-based discount incentives. Furthermore, growth efforts should focus on migrating Silver customers (\$748.43 average spend) to Gold status while deploying early onboarding touchpoints to curb churn among lower tiers. Executing these targeted adjustments will protect operating margins while substantially elevating long-term customer lifetime value.

10. Decision Dashboard

This dashboard summarizes the most important findings, risks, and recommended actions from the Market Intelligence Agent project. It is designed to provide a quick, decision-oriented view for leadership.

- **Project Title:** E-Commerce Customer Retention & Tiered Loyalty Optimization
- **Business Decision Supported:** Transitioning from universal sitewide promotions to threshold-based rewards and accelerating Silver-to-Gold cohort migration.
- **Dataset Used:** Kaggle E-Commerce Customer Behavior Dataset (350 validated customer records in SPICE)
- **Research Focus:** Customer Lifetime Value (LTV) maximization, discount margin erosion, and tier churn dynamics
- **Overall Confidence:** High

Top Insights

- **Insight 1:** Gold tier members anchor gross revenue, averaging **\$1,311.14** in total spend across **17.62 items** with an exceptional **4.68/5.0** rating (nearly 3x the spend of Bronze).
 - *Why it matters:* Retention efforts must prioritize Gold accounts, as losing a single Gold customer requires acquiring roughly three Bronze replacements to break even.
 - *Confidence:* High
- **Insight 2:** Universal discount promotions directly degrade average basket spend by **~13%** (\$787.27 with discounts vs. \$903.49 without).
 - *Why it matters:* Sitewide price slashes attract bargain hunters and cannibalize full-price purchases without driving basket volume expansion.
 - *Confidence:* High
- **Insight 3:** Silver members average **\$748.43** across **11.66 items**, forming the primary high-conversion runway into Gold status.
 - *Why it matters:* Upselling existing Silver buyers requires significantly lower

- acquisition spend while unlocking premium margin potential.
- **Confidence: High**

Main Risks

- **Risk 1 (Margin Cannibalization):** Continuing blanket percentage discounts across all customer segments.
 - *Why it matters:* Actively degrades profit margins on high-intent buyers who are already willing to purchase at full price.
- **Risk 2 (Early Tier Attrition):** Persistent dissatisfaction and purchase latency among entry-level Bronze accounts.
 - *Why it matters:* Accelerates churn, forcing the business into unsustainable Customer Acquisition Cost (CAC) spending to backfill churned users.
- **Risk 3 (Geographic Concentration):** 100% of top-tier Gold customers are concentrated exclusively in San Francisco and New York.
 - *Why it matters:* Exposes high-margin revenue streams to regional macro disruptions or localized competitive pressure.

Recommended Actions

- **Action 1:** Discontinue sitewide percentage discounts and introduce minimum-spend threshold promotions (e.g., "\$100 off on orders exceeding \$950").
 - *Expected impact:* Halts margin dilution while immediately expanding order basket size across all tiers.
 - *Effort: Low*
- **Action 2:** Launch a dedicated "Silver-to-Gold" acceleration initiative offering tier-escalation perks when cumulative spend hits \$850.
 - *Expected impact:* Accelerates migration into the highest-LTV cohort (\$1,311+ average spend).
 - *Effort: Medium*
- **Action 3:** Implement an automated onboarding and satisfaction check-in sequence within 14–20 days of first purchase for Bronze users.
 - *Expected impact:* Mitigates post-purchase dissatisfaction (currently 3.33/5.0) and curbs early churn.
 - *Effort: Medium*

Appendix

A. Signal Freshness Notes

This section documents the recency of the evidence used in the analysis and explains why the selected signals remain relevant for decision-making.

- **Evidence / Signal:** E-Commerce Customer Behavior Transaction Dataset (Kaggle)
 - *Date collected or captured:* September 22, 2026 (Ingested directly into Amazon Quick SPICE)

- *Why it remains relevant:* Provides structured baseline customer transactions, order volumes, and tier satisfaction scores reflecting core cohort dynamics.
- *Limitation, if any:* Cross-sectional snapshot of 350 customer profiles; lacks dynamic SKU-level product costs.
- **Evidence / Signal:** Quick Research Report on E-Commerce Loyalty Benchmarks & Retention
 - *Date collected or captured:* September 22, 2026
 - *Why it remains relevant:* Validates that modern retail programs increasingly shift away from price cuts toward experiential and threshold-based perks.
 - *Limitation, if any:* Based on high-level macro industry benchmarks rather than company-specific proprietary customer surveys.
- **Evidence / Signal:** Cohort Recency and Spend Correlation Analysis
 - *Date collected or captured:* September 22, 2026
 - *Why it remains relevant:* Directly exposes the critical latency threshold (31.6 days for Bronze vs. 17.9 days for Gold), pinpointing exact churn intervention windows.
 - *Limitation, if any:* Does not account for seasonal variations such as holiday or Black Friday spikes.

B. What Would Change Our Mind

This section identifies the types of new evidence or market changes that could materially alter the current conclusions. It is intended to show where the analysis is most sensitive to future developments.

- **Current Insight 1:** Blanket discounts erode average order spend and margin value.
 - *We would revisit this conclusion if:* Future transaction audits demonstrate that promotional discounts yield a high net-new customer acquisition rate with a 6-month repeat purchase conversion exceeding 40%.
- **Current Insight 2:** Bronze customers require onboarding support rather than deeper price cuts to fix retention.
 - *We would revisit this conclusion if:* Price-elasticity testing proves that targeted introductory discounts significantly lift Bronze order frequency without damaging customer rating sentiment.
- **Current Insight 3:** Silver-to-Gold tier migration provides the highest ROI focus area.
 - *We would revisit this conclusion if:* Macro-economic compression severely reduces consumer discretionary spending in coastal hubs (San Francisco and New York), capping luxury and premium basket growth.

C. Impact vs Effort Matrix

This section prioritizes the recommended actions by comparing their expected business impact with the level of effort required for implementation.

- **High Impact / Low Effort (Immediate Priorities):**
 - *Action:* Replace sitewide percentage discounts with conditional minimum-order threshold promotions (\$950+ trigger) — **Confidence: High**

- *Action:* Establish automated satisfaction surveys and onboarding check-ins triggered 14 days post-purchase for new Bronze accounts — **Confidence: High**
- **High Impact / High Effort (Strategic Initiatives):**
 - *Action:* Construct an automated "Silver-to-Gold" tier acceleration engine integrated into CRM and checkout flows — **Confidence: High**
 - *Action:* Develop localized marketing and inventory hubs targeting underperforming metropolitan regions (Chicago, Houston) — **Confidence: Medium**
- **Low Impact / Low Effort (Operational Fixes):**
 - *Action:* Update digital account dashboards to display progress bars showing customers how close they are to the next tier — **Confidence: High**
- **Low Impact / High Effort (Deprioritized):**
 - *Action:* Complete redesign of the entire catalog pricing architecture without cohort-level gating — **Confidence: Low**

D. Best Prompts Appendix

This appendix captures the strongest prompts used during Quick Research and Quick Chat, along with the value each prompt contributed to the final analysis.

- **Tool Used:** Quick Research
 - *Prompt:* "E-commerce loyalty program benchmarks, premium tier retention, and discount sensitivity market trends"
 - *What it helped uncover:* Highlighted current retail trends moving away from margin-diluting blanket discounts toward value-bundled premium memberships.
 - *Supported insight:* Supported Insight 2 (Promotional margin dilution) and Insight 3 (Silver migration value).
- **Tool Used:** Quick Chat / Q
 - *Prompt:* "Using the attached customer dataset and market research, analyze: 1. Average Total Spend and Items Purchased across Bronze, Silver, and Gold tiers. 2. The impact of discounts on Total Spend. 3. Deliver 3-4 leadership-ready strategic recommendations to improve customer retention and revenue."
 - *What it helped uncover:* Extracted exact mathematical figures showing Gold spend at \$1,311.14 (17.62 items), Bronze spend at \$473.39 (8.49 items), and the ~13% spend decline caused by discounts.
 - *Supported insight:* Directly formed the backbone for Insight 1, Insight 2, and the Visual Evidence chart.
- **Tool Used:** Quick Chat / Q

- *Prompt:* "Break down customer satisfaction and purchase recency by membership tier."
- *What it helped uncover:* Pinpointed that 100% of Gold members were satisfied while Bronze accounts reported zero satisfied ratings with a 31.6-day latency gap.
- *Supported insight:* Formed the evidentiary baseline for Insight 4 (Bronze churn risk) and the onboarding recommendations.